

Is there a lock-in? This is important to know. A lock-in means that you cannot withdraw your money for a certain period of time. For example, the lock-in with the PPF product is fifteen years. The lock-in with a five-year bank FD is, well, five years.

Mutual funds are of two types, open-ended and closed-end. There is no lock-in in open-ended funds, but closed-end equity funds have a three- or five-year lock-in. The ELSS funds are locked in for three years. Open-ended funds may not have a lock-in, but can have a cost of exiting before a certain period of time (more of that in the next section). ULIPs have a five-year lock in.

Traditional plans don't have a lock-in, which means you can stop funding the policy whenever you want, but the policy tenure could be ten, fifteen or even thirty years. Don't confuse the premium-paying term with the policy tenure.

Sellers of insurance lie about this feature and make you think that a five-year premium-paying term is the policy tenure. Tenure is usually much, much longer. NPS has an age-linked lock-in – you cannot redeem before you hit age sixty. I like to invest for the long-term, but don't like lock-ins. They force me to stay with a poorly performing fund manager. What happens if I exit early?

Cost to exit early

Early exit can happen in two ways. One, you want to exit before the lock-in gets over. For example, in PPF, what if you want to stop the product midway and get your money back? Or you want to redeem your money before three years in an ELSS fund? Or you want to redeem your money from a ULIP before five years? Or exit the NPS or your PF?

Well, you can't. There are some special circumstances in which you can redeem a part of the NPS or your PF. A closed-end mutual fund does have an exit option before the tenure because it is listed on a stock exchange and you can get the current NAV if you sell your fund on the exchange. But historically, listed closed-end funds trade below their NAV, and most investors prefer to wait it out. Anyway, if you have a good emergency fund, your need for midway liquidity should be adequately met.